

Editorial

Questioning Values

NETWORKING SITE FACEBOOK last month sold a mere 1.6 per cent of its stake to Microsoft—for a substantial \$240 million. The valuation of the popular social networking site was pegged at \$15 billion. Compare that with Netscape's valuation of \$2 billion in 1995.

I'm wondering what the valuation indicates. Could numbers put things in perspective?

A recent report by UK-based Datamonitor, a provider of online database and analysis services, stated that social networking sites will sign up 230 million active members by the end of this year, attracting new users until at least 2009. The report titled *The future of social networking: Understanding market strategic and technological developments* also says revenues from social networking services will go to \$965 million this year, to go up to \$2.4 billion by 2012.

Even so, investors in such sites are wary because long-term growth here is not a guarantee. The report predicts that growth—in terms of the number of users signing up—will peak by 2009 and plateau by 2012.

I'm naturally reminded, by this hype, of the dot-com boom. There are two reasons. First, about networking sites currently being fuelled by innovation around the communication possibilities—can it possibly be wise to base a business strategy purely around innovation potential? It doesn't seem like the sites can ensure a prolonged period of sustained innovation; so what are *Microsoft and the others thinking*?

Second, are advertisers willing to spend enough on networking sites? In fact, do these sites even have an advertising revenue plan? Facebook's current advertising strategy is that it's developing an advertising strategy...

Most importantly, these are *personal spaces*. Advertising is likely to only distract from, if not disrupt, the experience.

During a panel discussion of advertisers at a recent Internet summit, some expressed apprehension in regards to associating their brands with the possibly risqué or inappropriate material that gets generated on such sites. Even if the sites do get advertising, it will, like I said, very probably just annoy site members and make them migrate to a new one. There are as many social networking sites as Web mail providers, it seems; besides, the loyalty and stickiness of this internet generation is not a given.



Deepak Ajwani Executive Editor

“Are social networking sites really the next-generation portals, or flash-in-the-pan communities?”

Michael Cassidy is president and CEO of Undertone Networks, an online ad network. It was he who gave Netscape the valuation I mentioned. He has now said in an interview that it is a “big waste of money” for advertisers to buy ads on social networks like Facebook and MySpace. Users of those sites “are going there to interact with their friends and play with their profile,” he says. “They’re not in the frame of mind to respond to an ad.” Yes, *frame of mind*. Take a look at the now ad-saturated MySpace and you’ll see what I mean.

Ultimately, are social networking sites really the next-generation portals, or flash-in-the-pan communities? We can’t make a comparison to the dot-com event, really; things have changed a lot. From the hard facts, all we know is that it could turn out either way. Some—like Microsoft and Google—are betting on the former possibility. I personally wouldn’t, but it’ll be interesting indeed to see how it turns out. A new chapter in Web history might just begin.

A handwritten signature in black ink, appearing to read 'D Ajwani'.

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